

Oil likely stuck in \$100 range for the rest of 2026

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【メール原文】

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High oil prices likely throughout 2026 as US-Iran standoff endures

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Oil prices are likely to trade in a \$90-\$110 band for Brent through the rest of 2026 as the US and Iran continue their standoff.

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Skyrocketing fuel prices aren't enough to force US concessions to Iran ahead of November's midterm elections, while significant military escalation remains unattractive given the risks of Iranian retaliation.

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Iran will manage the US pressure campaign as it continues its attritional strategy, utilizing proxies and tanker attacks to push up prices, in the hope the US blinks first.

Mounting economic pressure on both sides will not end the standoff. As the conflict grinds on, the costs for both Iran and the US are growing, though not yet enough to shift either side's negotiating position and open up space for a deal, which remains very unlikely (15%). The current standoff is likely to last past the US midterms in November and through the rest of 2026 (60%).

A significant escalation in the conflict remains unlikely (25%). The US will maintain its wait and see approach, focusing on increasing economic pressure on Iran while moving oil through the Strait of Hormuz.

Iran will continue to expand its attacks on energy targets to pull up oil prices and undercut US progress in moving oil through the strait (see: Standoff now likely to run through 2026 as Hormuz traffic increases , 1 September 2026). The successful attack on the Saudi East-West pipeline by Iranian-backed Iraqi militias is illustrative of its strategy: The strike disrupted regional oil flows (and increased oil prices) without triggering retaliation from the US.

While Iran will try to avoid actions that prompt US retaliation, the lack of a meaningful response to the East-West pipeline attack is likely to embolden Iran, raising the risk of more damaging attacks on infrastructure as the standoff continues.

Oil prices will remain high despite US progress in Hormuz. The US continues to move oil out of Hormuz with increasing success. Yet the loss of the East-West pipeline and the lack of diplomatic progress, combined with pressures from recovering Chinese import demand and the Russia-Ukraine conflict, will keep oil prices in a higher band of \$90-\$110 per barrel for Brent.

An increase in regional flows, either through higher shipments through Hormuz or a recovery in Saudi exports in the Red Sea, could pull prices down. If China cuts imports aggressively, as it did in early 2026, the relief on the demand side would place additional downward pressure on prices. Neither would be enough to address the overall market deficit. Absent a Middle East deal that reopens Hormuz, oil inventories will continue to decline, and prices will remain elevated through the rest of 2026.

Trump will shrug off fuel price pressure. The Iran conflict and the Russia-Ukraine war have squeezed global supplies of refined products, causing a sharp increase in prices. In the US, gasoline is nearing \$4.50 per gallon, while diesel is now over \$6.30 per gallon, its highest-ever recorded price. Despite this, President Donald Trump will continue to resist a major change in policy ahead of November's midterm elections. The administration sees little scope for a deal with Iran, as Tehran continues to insist on recognition of its control over the Strait of Hormuz and demands the US return to the deal from June—terms which the US regards as unacceptable.

Rather than make concessions or pursue aggressive military escalation (which would only add to price pressure), the administration is likely to resort to alternative tactics—public rhetoric, pressure on domestic refiners, and potentially another release from the Strategic Petroleum Reserve or restrictions on refined products exports (see: Refined product export restrictions likely if prices remain elevated , 16 September 2026)—in hopes of halting the rise fuel prices.

The US will explore escalation after the midterms, though its options remain unattractive. US stocks of munitions, particularly air interceptors, will still be depleted in November. The US retains the option of striking strategic targets—Iran's remaining nuclear facilities and its underground stocks of ballistic missiles and launchers—as it did in late summer (see: Iran war escalation & energy implications , 29 July 2026). Still, such a campaign would likely be brief and would do little to address the ongoing risk posed by Iranian missiles and drones to shipping and regional energy.

Iran's leadership will stick with resistance, even as they quarrel internally. Tehran is managing the economic pressure of the US blockade and sanctions through a combination of policy—including cutting gasoline subsidies, reducing budgetary expenditures, redirecting trade to overland routes, and limiting access to foreign exchange—and repression. The leadership has openly stated that protests will be put down with force. There have been few signs of organized public unrest.

While there is evidence to suggest disagreements and infighting among the ranks of the regime elite—a hallmark of Islamic Republic politics for decades—the leadership has publicly coalesced around a coherent negotiating position, demanding the US acknowledge joint Iran-Oman control of the strait and return to the June deal. There is little scope for them to shift from this position, even in the face of significant US pressure.

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